
ECO 101 Tutorial 4: Elasticity

- Q1.** We have a perfectly competitive market for Ramen with the usual downward-sloping demand. Incomes increase and Ramen is an inferior good. We have the biggest _____ in price and the smallest change in quantity when the elasticity of market supply is _____.
- A. decrease; ∞
 - B. decrease; 0
 - C. decrease; 1
 - D. increase; 0
 - E. increase; ∞
- Q2.** Market demand for gas is given by $Q^D = 231 - 5P$. Based on this information, the (absolute) price elasticity of demand is _____.
- A. ∞
 - B. Between ∞ and 1
 - C. 1
 - D. Between 1 and 0
 - E. Need more information.
- Q3.** Fish is a normal good. When the cost of fish food decreases, total revenues earned by fish producers increase. We can conclude that the _____ of fish is _____.
- A. demand; elastic.
 - B. demand; inelastic.
 - C. supply; elastic.
 - D. supply; inelastic.
 - E. none of the above.
- Q4.** Consider a perfectly competitive market with the usual supply and demand curves. In 2020, average income was \$4000, market price was \$100 and the quantity sold was 500. In 2021, average income was \$5000, market price was \$100 and the quantity sold was 400. The _____ elasticity is _____.
- A. income; 1
 - B. income; -1
 - C. income; -0.8
 - D. demand; ∞
 - E. supply; 0
- Q5.** When meat prices in the economy increase by 10%, people buy 5% less meat and 15% more Ramen. Based on this information, meat is _____ for consumers, while demand for Ramen is _____.
- A. an inferior good; normal
 - B. a normal good; inferior
 - C. demanded inelastically; elastic
 - D. demanded elastically; inelastic
 - E. demanded inelastically; could be elastic or inelastic